ECONOMIC SURVEYS BY THE OECD

AUSTRIA

MAY 1964

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

122/28P

AUSTRIA

BASIC STATISTICS

THE LAND

Area (thousand km²)	84
Agricultural area (thousand km²)	41
Exploited forest area (thousand km²)	32

Major cities, March 1961 (thousands of inhabitants):

Vienna	1,627
Graz	237
Linz	196
Salzburg	108
Innsbruck	101

THE PEOPLE

Population, March 1961	7,073,807
— per km²	84
Net natural increase in population, annual average 1959-61	39,546
— per 1,000 inhabitants	5.6
Net emmigration, annual average 1959-61	1,961
Total employment (1), monthly average 1963	2,342,103
— in industry	607,100

PRODUCTION

Gross national product, 1963 (sch. billion)	199
— per head (U.S. $)	1,080
Gross fixed investment, average 1961-63:	
— per cent of G.N.P.	22
— per head (U.S. $)	234

Industrial origin of G.N.P. at market prices, 1963 (per cent):

— Agriculture	10
— Industry	38
— Construction	9
— Services	43
Home food production, average 1960-62 (per cent of total food availability)	87

THE GOVERNMENT

Public consumption, 1963 (per cent of G.N.P.)	13
General Government current revenue, 1962 (per cent of G.N.P.)	35
Federal Government Debt, 31st December 1963 (per cent of Federal Government revenue)	45

Composition of Federal Parliament May 1964:

Austrian People's Party	81
Socialist Party	76
Freedom Party	8

Last election: 1962.
Next election: 1965.

LIVING STANDARDS

Calories per head, per day 1960-61	3,010
Weekly gross earnings of industrial workers in Vienna, 1963 (sch.)	617
Number of passenger cars in use, October 1962 (per 1,000 inhabitants)	77
Number of telephones, December 1961 (per 1,000 inhabitants)	106
Number of radio sets, December 1961 (per 1,000 inhabitants)	290
Number of television sets, December 1961 (per 1,000 inhabitants)	41

FOREIGN TRADE

EXPORTS:

Exports of goods, and services 1961-63 (per cent of G.N.P.)	25
Exports, 1963 (per cent of total marchandise exports):	
— Food, tobacco, beverages	5
— Raw materials and energy	17
— Chemicals	20
— Other finished and semi-manufactured products	54

IMPORTS:

Imports of goods and services, 1961-63 (per cent of G.N.P.) average	25
Imports, 1963 (per cent of total merchandise imports):	
— Food, tobacco, beverages	13
— Raw materials and energy	21
— Chemicals	8
— Machinery and transport equipment	30
— Other finished and semi-manufactured products	28

THE CURRENCY

Monetary unit: Schilling.

Currency units per U. S. dollar: 26.

(1) Wage and salary earners.

ECONOMIC SURVEYS BY THE OECD

AUSTRIA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D. which came into being on 30th September 1961.

The members of O.E.C.D. are Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in May 1964.

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AUSTRIA

1. 1964 promises to be a relatively good year for the Austrian economy. Economic activity is likely to rise somewhat faster than last year. The disparities between the performance of individual sectors of the economy may become less pronounced. The rise in prices and wages should become more moderate and the balance of payments is likely to remain strong. The authorities expect no need to undertake major changes in the area of short-term economic policy in 1964. In the long-term field, by contrast, a number of important issues remain in the fore, particularly those relating to the functioning of the capital market. Sections I to IV of this report review current trends in the economy and budgetary and monetary policies. Section V discusses the capital market problem.

I. THE GROWTH OF ECONOMIC ACTIVITY

2. The real gross national product can be expected to increase by 5 per cent or more from 1963 to 1964. Last year the advance was 4.4 per cent; in 1962 it amounted to little more than half that rate. Normal wheather conditions alone could be expected to cause some acceleration of growth in the current year, since the advance of activity in 1963 was adversely affected by the severe winter early in the year. But it is first and foremost the more vigorous trend of demand, notably export demand, which asserted itself last autumn and has gathered force since then, that points to a faster growth in 1964. The relative contribution of individual demand components is likely to change; that of public expenditure, stock building, and possibly also private consumption, will become smaller; that of business fixed investment (which fell last year) and exports may well increase substantially.

Demand

3. In the second half of 1963 the volume of private consumption was 6 to 7 per cent larger than a year earlier. Data on retail sales suggest that the growth of consumer spending

Table 1. GROSS NATIONAL PRODUCT AND EXPENDITURE

Percentage change in volume from previous year

	1960	1961	1962	1963
Private consumption .	6.4	4.9	5.2	5.1
Public consumption ..	1.1	1.1	2.2	5.5
Gross fixed assets formation	15.3	6.3	-2.0	1.5
Exports of goods and services	11.2	5.4	9.0	8.9
Less: Imports of goods and services	20.8	4.2	9.3	4.1
Gross national product	8.3	4.8	1.5	4.4

SOURCE: Monatsberichte des Österreichischen Institutes für Wirtschaftsforschung.

on durable goods, notably furniture and household equipment, steepened towards the end of the year. Consumer demand for motor vehicles, by contrast, lost some of its strength. The rise of consumer spending on non-durable goods remained high.

4. In 1964, consumer incomes are unlikely to increase at a higher rate than last autumn. Disposable non-wage incomes will benefit from the cuts in personal income tax decided in 1962, but the growth of real wages and salaries may become less steep. It cannot, therefore, be expected that the rise of private consumption will further accelerate in the current year. Indeed, there is reason to believe that the rise may be somewhat less vigorous than in recent months.

5. Estimates are not as yet available to indicate the rôle played by stock accumulation in speeding up the growth of overall demand in 1963. But industrial enquiries and data relating to imports, production and trade strongly suggest that the earlier tendency to run down stocks of raw materials and finished goods was reversed in the spring of 1963, and that overall demand may have benefited in an important measure from the subsequent drive to replenish stocks at the various stages of production. Although the process may not as yet have come to an end, inventory demand is likely to be geared more to normal current stocking needs in 1964 than it was last year.

6. The growth of private and public building and construction demand will probably remain strong in 1964. The lower cost of bank credit and other types of long-term finance, should, if anything, act as a stimulus to local authority investment and

Table 2. PRIVATE CONSUMPTION

Percentage change in volume from previous year

	1961	1962	1963	1963 1st quater	1963 2nd quater	1963 3rd quater	1963 4th quarter
Food	3.6	3.4	3.7	2.8	4.9	5.1	2.2
Tobacco	7.4	9.1	7.7	6.2	9.0	8.2	6.9
Clothing	7,9	7.3	2.8	2.3	3.4	2.0	3.1
Furniture and household goods	7.8	1.2	7.1	0.7	4.2	8.6	11.0
Heating and lighting	2.2	14.0	15.4	27.4	7.9	11.6	13.2
Education, entertainment and recreation .	5.0	8.7	12.2	2.1	12.2	11.1	22.3
Transportation .	3.8	8.8	7.5	7.2	9.7	6.8	6.6
Other goods and services	4.5	3.6	2.9	1.8	5.0	0.3	4.3
Total private consumption ..	4.9	5.2	5.1	4.1	5.6	5.6	5.2

SOURCE: Monatsberichte des Österreichischen Institutes für Wirtschaftsforschung.

certain types of private building. Dwelling construction, in particular, is likely to expand steeply, partly as a result of larger spending by public authorities and funds.

7. The last investment enquiry conducted in industry in the autumn of 1963 pointed to a fall of business fixed investment in the current year.* Were this to happen, it would mean a third consecutive year of declining fixed asset formation in the business sector. But entrepreneurial expectations have no doubt improved in recent months. A revival of demand in this area cannot as yet be statistically confirmed, but it may not be altogether unrealistic to expect a substantial improvement of the investment climate in the course of the current year. Favourable demand prospects in both domestic and the main foreign markets, and the outlook for relatively stable wage developments augur well for business profits.

* 43 per cent of the firms covered planned to reduce capital outlays in 1964, 13 per cent only, expected to spend more.

8. But it is unlikely that fixed asset formation in the business sector will show any spectacular advance in 1964. Entrepreneurs' investment decisions may continue to be adversely affected by uncertainties as to Austria's future position in European integration arrangements. Furthermore, activity in the basic (nationalised) industries, which in addition to a weak conjuncture, face structural problems and E.E.C. tariff discrimination, will continue to depress the overall figures.* Those industries have accounted for two-fifths of industrial fixed capital formation in recent years. Even if capital outlays in non-nationalised enterprises should expand by 5 per cent in 1964, the total of industrial fixed investment would show no advance if the cuts originally planned in the nationalised sector were to be made. The revival of the steel market in recent months may, however, have brought an upward revision of investment plans in the steel industry.

Output

9. Given reasonably normal weather conditions the Austrian economy should be able to accommodate a growth of demand of 5 per cent or more in 1964 without undue pressure on resources. In the industrial sector there is scope for meeting a faster expansion of demand, particularly if, as does not seem unlikely, demand becomes better adapted to capacity conditions than in recent years. In 1963, activity in the capital goods industries declined for the second consecutive year; it has picked up in recent months. Although fixed asset formation in those industries has also contracted in recent years, the scope for raising output with existing capacity is fairly substantial. In the consumer goods industries last year's 7 per cent growth of output represented a postwar record. Total industrial production has been rising at an annual rate of 4 to 5 per cent since the spring of 1963, despite declining employment.

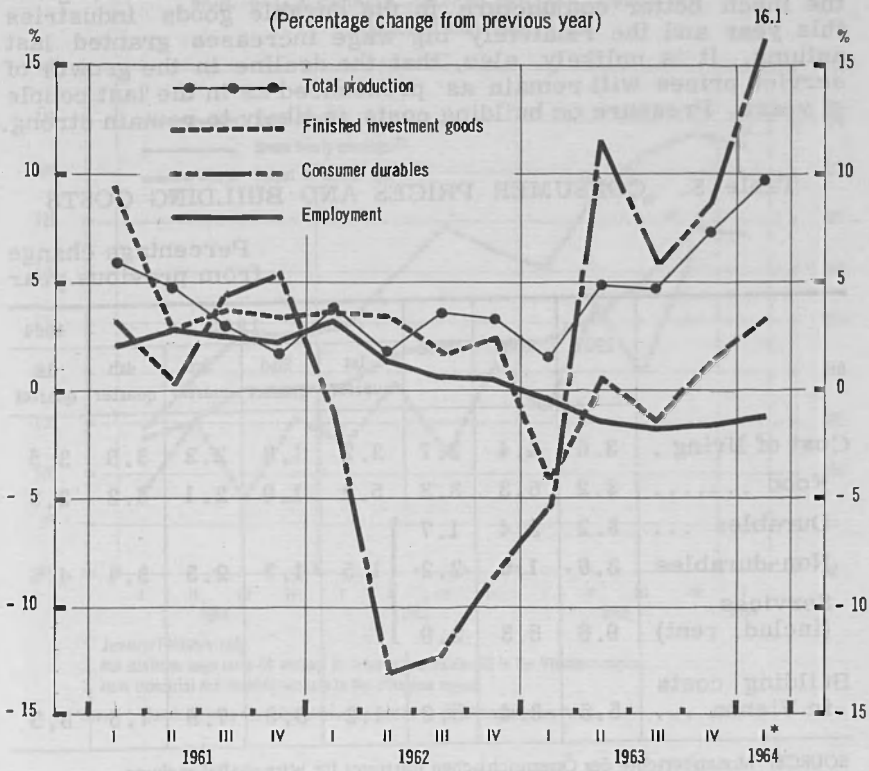
10. Conditions also improved in other sectors of the economy in 1963. Agriculture appears to have made good the setback of the preceding year; with relatively stable agricultural prices, gross proceeds are estimated to have been about 6 per cent higher than in 1962. The outflow of labour from agriculture continued at about the same rate as in recent years. After a slight decline in 1962, output in the building industry rose by about 4 per cent in 1963. The advance reflects chiefly productivity improvements. The labour market in the building trades remained tight, although the release of workers from the industrial sector may have helped to check pressures on labour in the building as well as the service trades.

* Customs duties on iron and steel in E.C.S.C. countries were raised to the Italian level in January. This implied an increase of German duties from 4 to 9 per cent ad valorem. The German market normally takes some 30 per cent of Austria's iron and steel exports, corresponding to 15 per cent of iron and steel production.

Diagram 1

PRODUCTION AND EMPLOYMENT IN INDUSTRY

(Percentage change from previous year)



* January/February only.

Source : Monatsberichte des österreichischen Institutes für Wirtschaftsforschung.

II. THE RISE OF PRICES AND WAGES

11. The relatively steep rise of consumer prices during the course of last year would not be expected to continue in 1964. The rise of food prices is likely to be more moderate. No further adjustment of regulated food prices are planned in the coming months, in view of the large increases granted last year. Non-regulated food prices, which also rose rather steeply last year, may well behave in a more stable manner in the current year, unless temporary supply deficiencies develop. Experience in recent years suggests that the problem of rising consumer prices could be eased by a more liberal import policy, permitting temporary shortfalls of domestic supplies to be offset through imports.

12. The rise of prices of durable goods slowed down last year. It is uncertain whether this trend will continue, given the much better conjuncture in the durable goods industries this year and the relatively big wage increases granted last autumn. It is unlikely, also, that the decline in the growth of service prices will remain as pronounced as in the last couple of years. Pressure on building costs is likely to remain strong.

Table 3. CONSUMER PRICES AND BUILDING COSTS

Percentage change from previous year

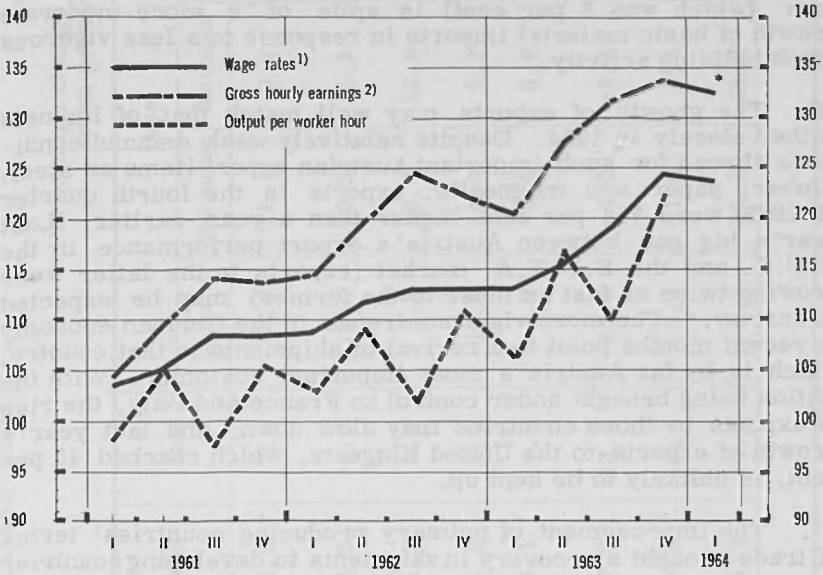
	1961	1962	1963	1963				1964
				1st quarter	2nd quarter	3rd quarter	4th quarter	1st quarter
Cost of living .	3.6	4.4	2.7	3.2	1.8	2.2	3.8	3.5
Food	2.2	6.3	3.3	5.1	1.9	2.1	4.2	2.3
Durables ...	3.2	2.4	1.7					
Non-durables	3.6	1.6	2.2	1.5	1.7	2.3	3.4	4.6
Services (includ. rent)	9.6	5.3	2.9					
Building costs in Vienna ...	5.5	3.4	5.9	1.2	6.9	7.9	7.5	8.5

SOURCE: Monatsberichte des Österreichischen Institutes für Wirtschaftsforschung.

13. Industrial wages in 1963 were on average 6.8 per cent higher than in 1962. This represented a more stable development than in the two previous years when the wage rise amounted to 9 to 10 per cent. But the increase of wages was fairly steep in the course of 1963. The cessation in February of the agreement on wage/price restraint, which had been put into force in the summer of 1962, was followed by a wave of new claims for pay adjustments in response to the previous rise of food prices. In the autumn there was a large number of contract revisions which brought wage rates and earnings in industry to some 10 per cent above the level of a year earlier. The productivity advance in industry was of the order of 7 per cent. The rise of wage costs, therefore, persisted, but was less marked than in previous years. No specific period is normally stipulated in Austrian wage contracts; but revisions are typically demanded no more frequently than each 15 to 18 months. Since the bulk of contracts were re-negotiated in the autumn of last year, the prospects are for a relatively calm situation on the wage front in 1964.

Diagram 2

WAGE RATES, EARNINGS AND PRODUCTIVITY IN INDUSTRY
(Indices 1960 = 100)



* January/February only.

1. Net minimum wage rates for workers in industry and handicraft in the Viennese region.
2. Male industrial and building workers in the Viennese region.

Source : Monatsberichte des österreichischen Institutes für Wirtschaftsforschung.

III. FOREIGN TRADE AND PAYMENTS

14. The balance of payments is likely to remain in surplus in 1964 with a further rise of foreign exchange reserves. The merchandise balance will no doubt worsen further in the current year, but the deterioration is likely to be less pronounced than last year. Seasonally adjusted estimates show a fairly steady contraction of the trade deficit since the spring of last year. Net receipts from invisible transactions and unilateral transfers are likely more than to offset the deterioration of the merchandise balance. Net capital imports may remain substantial.

15. On a year-to-year basis the growth of imports dropped from 10.4 per cent in the first half of 1963 to 4.1 per cent in the fourth quarter. A good harvest reduced import requirements of food, and demand for fuels no longer inflated imports as during the cold spell early in the year. Furthermore, imports of machinery and transport equipment were rising

much more slowly in the fourth quarter than in the first half of 1963. The tendency can be expected to reverse itself if there is an improvement of the investment climate. Total imports will probably expand in 1964 roughly at last year's average rate (which was 8 per cent) in spite of a more moderate growth of basic material imports in response to a less vigorous stock building activity.

16. The growth of exports may well match that of imports rather closely in 1964. Despite relatively weak demand conditions abroad for such important Austrian export items as steel, timber, paper and magnesite, exports in the fourth quarter of 1963 were 7.4 per cent higher than a year earlier. Last year's big gap between Austria's export performance in the E.E.C. and the E.F.T.A. market (exports to the latter were growing twice as fast as those to the former) may be expected to narrow.* The more vigorous trends in the German economy in recent months point to a revival of shipments to that country, which is by far Austria's most important customer. With inflation being brought under control in France and Italy, the rise of exports to those countries may slow down; and last year's growth of exports to the United Kingdom, which reached 45 per cent, is unlikely to be kept up.

17. The improvement of primary producing countries' terms of trade brought a recovery in shipments to developing countries overseas in 1963. But Austria's relative position in those markets appears to have worsened. The deterioration may continue in the current year unless steps are taken to enable Austrian exporters to meet more fully the needs for import finance in developing countries.**

18. The rise of the trade deficit is likely roughly to be offset by larger invisible earnings in 1964. Last year such earnings grew relatively slowly if the rise in freight receipts, which was largely a consequence of a change in statistical recording, is disregarded. The rise of earnings from tourism, by far the most important source of invisible earnings, was adversely affected by bad weather early in 1963. With normal weather conditions such earnings should expand fast in 1964. The steady, but in absolute terms small, increase of net payments of investment income will probably continue, given the persistent large inflow of capital from abroad.

19. Net unilateral transfers, which were chiefly responsible for the big drop in the current balance of payments surplus last

* The E.E.C. Member countries continued to take about one half of Austria's commodity exports, while the share going to the E.F.T.A. area is only one-sixth.

** In 1963, only 5 per cent of the Sch. 0.5 billions worth of credit extended by the public Export Fund went to developing countries. In principle these credits are repayable within one year and are, therefore, less favourable than those normally granted by Austria's competitors.

Table 4. MERCHANDISE TRADE

Percentage change in value from previous year

	PERCENTAGE DISTRIBUTION IN 1963	1961	1962	1963	1963			
					1st quarter	2nd quarter	3rd quarter	4th quarter
Total Imports	100	4.9	4.5	7.9	7.9	11.1	9.2	4.0
Food, drinks and tobacco	13	-15.3	24.3	4.0	13.0	19.5	6.5	-15.7
Basic materials and semi-manufactures	42	3.2	-1.2	9.6	3.8	9.1	12.9	12.6
Finished manufactures and chemicals	45	11.9	5.0	7.6	10.6	14.8	2.2	3.3
Total Exports	100	7.3	5.1	4.9	1.2	4.6	5.9	7.5
Food, drinks and tobacco	6	8.6	17.8	12.4	55.5	-1.0	-3.4	30.3
Basic materials and semi-manufactures	59	2.1	0.3	-0.4	-5.4	-1.6	1.4	3.9
Finished manufactures and chemicals	33	10.8	15.9	12.4	4.7	20.5	13.7	10.6

SOURCE: Mitteilungen der Österreichischen Nationalbank.

year, are likely to improve in 1964. Deliveries under the State Treaty have been terminated; and payments from Germany under the financial agreement, which were temporarily suspended in 1963, will be resumed.

Table 5. THE BALANCE OF PAYMENTS

$ million

	1961	1962	1963
Current transactions	- 32	84	17
Merchandise	- 259	- 279	- 341
Imports c.i.f.	-1,490	-1,552	-1,675
Exports f.o.b.	1,231	1,273	1,334
Services	228	299	346
Foreign travel	217	280	314
Investment income	- 13	- 15	- 17
Other	24	34	49
Unilateral transfers	- 1	64	12
Capital transactions	129	104	95
Loans and credits	116	67	48
Direct investment	5	16	5
Security transactions ...	3	15	38
Change in foreign reserve position of the banks ..	2	-	- 23
Other	3	6	27
Errors and omissions	38	39	22
Change in official gold and foreign exchange reserves	135	227	134

SOURCE: Mitteilungen der Österreichischen Nationalbank.

20. There are few grounds for expecting any fundamental change in the capital balance. The liberalisation measures taken last year may well raise the outflow of capital, and notably of short-term capital. In addition, the tendency towards falling interest rates in the Austrian market should act as a brake on the capital inflow. However, there is still a not insignificant yield differential in favour of Austrian bonds, and there will be large new bond issues in 1964 to finance the Federal budget deficit and electric power company investment. Foreign purchases of Austrian long-term bonds are, therefore, likely to continue on a high level.

21. In 1963, recorded net capital receipts totalled Sch. 2.4 billion, Sch. 0.3 billion less than in 1962. If allowance is made for certain current receipts which, due to lack of information are recorded in the capital balance, the decline in the total net imports of capital would appear to have been substantially bigger. Net exports of short-term bank funds were Sch. 0.6 billion larger than in 1962, suggesting that the inflow of long-term capital may have remained roughly of the same magnitude as in 1963.

IV. ECONOMIC POLICY

The Federal Budget

22. The 1964 Federal budget is likely to give fairly strong support to economic activity although it appears to imply a shift to a less expansionary policy. Table 6 shows that the overall deficit is expected to decline from Sch. 4.1 billion to Sch. 3.9 billion. Net receipts on payments from abroad will increase and debt reimbursements will be bigger than those effected in 1963 and the deficit with a direct bearing on domestic income is planned to be below last year's magnitude. It may well turn out lower than estimated since it is based on the asumption of an increase of gross national product of 4 per cent only and it should not be necessary to spend entirely unbudgeted receipts.*

23. The Authorities feel that the bulk of the deficit should be financed in the domestic capital market. A Federal loan of $18 million was floated in London last January. The Minister of Finance recently declared that there will be no further Federal borrowing abroad in the current year.

Money and Capital Markets

24. Domestic new bond issues planned by other public authorities, public funds and the electric power companies are only slightly larger than the volume of last year's new issues. Market borrowing by business enterprises is likely to remain small. Demand for fixed interest securities can be expected to stay strong, particularly with foreign investors remaining

* Last year's High Court decision declared as unconstitutional the authority formerly accorded to the Minister of Finance to exceed voted expenditure when actual receipts were greater than budgeted receipts. The question of the discretionary powers accorded the Minister of Finance is under active consideration and present arrangements are expected to remain in force only until the end of 1964.

Table 6. THE FEDERAL BUDGET

Sch. billion

	1961	1962	1963	1963	1964[1]
	CLOSED ACCOUNT			VOTED BUDGET	
Total expenditure	50.0	54.1	59.1	59.1	60.1
of which:					
Wages and salaries	11.6	12.6	13.6	13.2	14.3
Subsidies	2.0	2.5	2.8	2.9	2.9
Transfers	13.9	15.5	..	16.9	18.3
Debt service	2.5	2.3	2.7	2.8	3.3
Investment and investment promotion	6.6	7.4	7.6	7.8	8.6
Total receipts	49.1	52.4	55.0	55.7	56.2
of which:					
Taxes and duties	24.2	26.5	28.9	29.0	30.8
Social insurance contributions	5.2	5.3	5.7	5.9	6.1
Income of state monopolies and enterprises	11.9	12.6	13.3	12.9	14.0
Overall balance	-0.9	-1.7	-4.1	-3.4	-3.9
Balance of ordinary budget	1.9	-0.3	-1.1	-0.6	-0.5
Balance of extraordinary budget	-2.8	-1.4	-3.0	-2.8	-3.4

SOURCE: Monatsberichte des Österreichischen Institutes für Wirtschaftsforschung.

1. Data exclude various transitory items carried in former years. To obtain comparability with 1963 receipts and expenditure in that year must be reduced by Sch. 2.8 billion.

attracted to the Austrian bond market and continued easy liquidity conditions in the banking sector. With little increase in the supply of new issues, demand may well be sufficient to prevent a reversal of last year's downward trend of the bond rate.

25. That trend had asserted itself already in the early weeks of 1963, when the bidding up of prices on outstanding issues caused the bond rate to fall below the 7 per cent level. Conditions on the demand side as well as on the supply side helped to bring about the decline. Foreign demand for Austrian bonds strengthened and domestic demand was stimulated by relatively big repayments of Federal issues. The supply of new issues was small early in the year owing to late voting of the Federal budget which delayed Federal issue activity. The first Federal issue brought on the market in the spring offered an effective return of 6.75 per cent and was a success. In June, the National Bank took steps to adjust short-term rates to the new conditions in the bond market. The official discount rate was reduced from 5 per cent to 4.5 per cent, all remaining restrictions on short-term capital exports were removed, and other capital transactions were further liberalised. A number of public and electric power plant issues, offering effective returns of around 6.5 per cent, were successfully floated in the summer and autumn. In the most recent Federal issue, made in early March 1964, the interest rate was brought down to 6 per cent, for the first time in eight years. The loan which offered a return of 6.2 per cent was a success. In other public and electric power plant issues, scheduled for the spring and early summer, returns somewhat higher than this, but below 6.5 per cent, are envisaged.

Table 7. NEW CAPITAL MARKET ISSUES

Sch. billion

	1961	1962	1963
Federal Government	0.80	1.57	2.65
Länder and towns	0.50	0.40	0.10
Public funds	0.20	0.22	
Electric power companies	0.67	0.95	0.80
Total public	2.17	3.14	3.55
Credit institutions	0.69	1.18	1.53
Other domestic	0.17	0.33	-
Foreign	-	0.13	0.06
Total fixed interest securities	3.03	4.76	5.14
Equities	0.19	0.04	0.20[1]

1. Provisional Secretariat estimate.

SOURCES: Mitteilungen der Österreichischen Nationalbank;
Monatsberichte des Österreichischen Institutes für Wirtschaftsforschung.

26. Apart from the reduction of the official discount rate action in the field of monetary policy in the recent past included a number of capital liberalisation measures, the conversion of Sch. 220 million of Treasury bills into negotiable money market papers and the conclusion of a new agreement between the Ministry of Finance and the banks on credit ceilings. The purpose of the agreement was to do away with certain anomalities resulting from the use of relatively distant base periods.

27. With a strong current balance of payments and a persistent inflow of capital from abroad, the liquidity situation can be expected to remain easy in 1964. Demand for finance of stock building may decline but bank credit expansion will probably steepen with a recovery of business fixed investment. Last year's credit expansion, although much smaller than that of 1961 and 1960, represented a fairly big advance on the expansion in 1962. The scope for new bank lending in the current year is significant, however. At the end of January 1964, fully 15 per cent of the prevailing credit ceilings were left unutilised. Twelve months earlier the unusued margin had been 8 per cent. The improvement resulted partly from the new agreement on credit ceilings which implied higher ceilings for most groups of institutions.

Table 8. BANK LIQUIDITY, CREDIT AND DEPOSITS

Percentages

	JANUARY		
	1962	1963	1964
	(position at end of month)		
Liquid holdings/obligatory reserves	128	131	133
Liquid holdings/total deposits	9.0	10.7	10.8
Credit outstanding/credit ceilings	94	92	85
	(change from twelve months earlier)		
Commercial credit outstanding	16.8	8.6	10.8
Total deposits	13.2	12.9	12.1
of which:			
sight deposits	8.3	7.8	8.8
time and savings deposits	15.2	14.7	13.2

SOURCE: Mitteilungen der Österreichischen Nationalbank.

The Stabilisation Problem

28. There is no immediate danger that demand will become excessive in an overall sense, even with the expansionary 1964 Federal budget and the easy monetary policy currently pursued. But the appropriateness of a budget deficit of the order envisaged for 1964 may well be questioned. The authorities may wish to consider ways and means of tightening budgetary policy so as to leave greater scope for dealing with future conjunctural slack by budgetary instruments. Such a policy would also help to normalize the monetary and capital market situation. Under present conditions Federal borrowing abroad swells the capital inflow and accentuates the expansive liquidity effects of the balance of payments. The budget deficit, furthermore, contributes to keeping long-term interest rates out of line with rates abroad and restricts the scope for financing industrial investment in the capital market. A tighter control of bank credit may not be required for the time being. The growth of bank lending is moderate; if it is to steepen in the coming months it will probably reflect a recovery of investment activity, which there is clearly no desire to obstruct.

29. To maintain reasonably stable price and cost conditions in 1964, measures to check the growth of demand would appear less relevant than policies aiming at accommodating it. Labour market policies are particularly appropriate in this context. The domestic labour force will increase only fractionally in 1964, and there is little scope for reducing non-seasonal unemployment. There is considerable scope, however, for diminishing seasonal unemployment by way of more energetic measures to encourage winter building and better timing of public building and construction programmes. The labour supply situation could also be eased by larger imports of foreign workers. The global quota for foreign workers, fixed by labour and management, is far from exhausted and the stricter policies adopted in respect of foreign labour imports in Switzerland may facilitate recruitments by Austrian employers.* But it is particularly by reducing obstacles to labour mobility that strains on labour resources can be checked. The authorities may wish to take steps, notably to facilitate the shift of agricultural manpower into higher productivity occupations. There may also be need to give higher priority than hitherto to schemes for retraining, compensation of travel expenses and similar arrangements, which would stimulate shifts of labour between industries.

30. The Advisory Council for Economic and Social Questions pointed to the need for a tighter budgetary policy in a stabilisation programme recently submitted to the Government by

* The quota provides for employment of 48,000 foreign workers, corresponding to 1.5 per cent of total wage and salary earning employment. At the peak of the 1963 season only 14,000 foreign workers were reported employed under the quota.

the Price and Wage Commission.* It also stated that bank lending would have to be brought under closer control should it seriously jeopardise price stability. Furthermore, the programme stressed the need for measures to do away with the balance of payments disequilibrium, which strongly inflates liquidity and reduces the scope for monetary policy. It proposed the abolition, as soon as possible, of the remaining import quotas, temporary cuts in customs duties, discontinuation of Government borrowing abroad, a further adjustment of Austrian interest rates to those prevailing abroad, and swap operations that would check the liquidity impact of balance of payments surpluses.** Finally, the programme contained proposals for the labour market (freer entry of foreign workers, simplification of procedures for approving overtime work, new appeals for wage and price restraint) and for the consumer goods market (elimination of the system of discounts, better consumer guidance).

V. THE CAPITAL MARKET PROBLEM

31. This problem has been constantly in the fore of public discussion during recent years. It is commonly meant to comprise a wide range of issues some of which have little immediate bearing on capital market arrangements, such as, for example, business depreciation allowances and taxes on accrued profits. Various programmes for overcoming the problem have been worked out, and a comprehensive set of proposals for new legislation was drawn up last year. However, only two bills of limited significance for the functioning of the capital market have been passed by Parliament so far. The Government has been instructed to work out new proposals "for the promotion of capital formation in accordance with the specific conditions and requirements of the country."

32. The problem is not primarily to increase the volume of total savings. This does not exclude the possibility that higher savings may be desirable for other reasons; but in relation to the problem under consideration the difficulty is not that the volume of savings is too low. This is clearly brought out by the fact that, in recent years, the balance of payments has frequently shown a surplus on current account, implying that

* The Council, instituted last October, has eight members, two from each of the four large interest groups (the Chamber of Labour, the Chamber of Commerce, the Chamber of Agriculture and the Trade Unions). The Council is to serve as an advisory body to the Price and Wage Commission. It will undertake studies and investigations at the request of the latter. Five working groups have been set up by the Council so far; on capital market problems, on long-term budgetary policy, on questions relating to the building industry, on short-term economic forecasting and on economic integration problems.

** It has recently been announced that liberalisation measures will be somewhat advanced and substantial cuts will be made in import duties on coffee and tea.

Table 9. THE SIZE AND STRUCTURE OF CAPITAL MARKETS IN SELECTED COUNTRIES

Percentages

	AUSTRIA	GERMANY	ITALY[1]	SWEDEN[1]
Issues in per cent of gross fixed capital formation				
Securities outstanding, end 1962	91	156		
fixed interest bearing	62	68	135	67
equities	29	88		
Gross new issues, 1961-1963 ..	11	16		25
fixed interest bearing	11	14		21
equities	0	2	10	4
Net new issues of fixed interest securities, 1961-1963	8	11	18	13
New issues of fixed interest securities, percentage distribution by issuing sector, 1961-1963[2]				
Central government	39	12	14	30
Other public[3]	11	15		8
Electric power companies	19	1	-	[4]
Credit institutions	26	67	60	44
Other domestic	4	3	25	18[4]
Foreign	1	1	2	-
Total	100	100	100	100
Net new issues, percentage distribution by purchasing sector, 1961-1962				
Credit institutions	27	32	30	34[5]
Social insurance	6	6	7	36[6]
Private insurance	9		10	13
Other domestic	47	35	39	17
Foreign	11	26	14	-
Total	100	100	100	100

1. All data on new issues relate to 1960-1962.
2. Data relate to net issues for Germany and Italy, gross issues for Austria and Sweden.
3. Excludes nationalised industries.
4. Electric power companies included with "other domestic".
5. Includes the Central Bank.
6. Includes all public funds.

SOURCES: Mitteilungen der Österreichischen Nationalbank;
Monatsberichte des Österreichischen Institutes für Wirtschaftsforschung;
Monatsberichte der Deutschen Bundesbank;
Monthly Digest of Swedish Statistics;
Economic Policies and Practices Paper No. 3 of the Joint Economic Committee of the U.S. Congress.

domestic savings have been adequate to finance domestic investment. The main problem would seem to be that the structure of capital supply is not well adapted to the structure of demand. With private savers tending to prefer relatively liquid assets, there has been a shortage of long-term funds, reflected in relatively high interest rates and steady borrowing abroad.

33. It is important that progress should be made towards overcoming the existing difficulties. First, from the point of view of international payments equilibrium, it is clearly undesirable that a country with a fairly persistent current external surplus should attract long-term capital from abroad, entailing a continuous increase in its foreign exchange reserves. Second, the increase in domestic liquidity resulting from the external surplus has at times been an important source of inflationary pressure. A further rise in foreign exchange reserves would in any case seem to represent an inappropriate use of resources; the existing official reserves - about $ 1,150 million, the equivalent of about eight months' imports - appear amply sufficient by any reasonable standard. Finally, an expansion of the domestic capital market should have favourable effects on the allocation of savings, and should exert downward pressure on interest rates.

34. Data relating to the capital market are incomplete in Austria as in most other Member countries, and inter-country comparability is impaired by differences in coverage and methods of recording. The information brought together in Table 9 should, therefore, be regarded as no more than a rough and ready guide to the relative size and structure of the Austrian capital market. It brings out the three most frequently alleged shortcomings of the market:

i) The size of the market is small, whether measured in terms of the stock of securities outstanding or in terms of new issue activity. Austria comes out even rather less favourably than conveyed by the figures in Table 9, if the comparison is related to gross national product rather than to fixed investment, since Austria's investment ratio in recent years has been lower than that of the other three countries. The gap is narrowed somewhat if net absorptive capacity is considered; repayments of fixed interest securities were somewhat less important in Austria, as in Germany, than in the other two countries.

ii) A second feature of the Austrian market is the predominance of fixed interest securities. This is the case in all four countries, but much more so in Austria than in the other three. In fact, new equity issues have corresponded to less than 1 per cent of gross fixed asset formation in Austria in recent years; in the other three countries the share has ranged from 2 to 10 per cent.

Table 10. ASSETS OF FINANCIAL INSTITUTIONS IN SELECTED COUNTRIES, EN 1962

Billions of national currency and *percentages*

		CREDIT INSTITUTIONS[1]	PRIVATE INSURANCE	NATIONAL INSURANCE	TOTAL INSTITUTIONS
Austria					
Total assets	Sch. billions	122.9	9.8	10.1	142.8
of which:					
Securities	per cent	9.5	27.3	14.3	11.1
Long-term loans	"	16.9	24.1	1.6	16.3
Germany					
Total assets	DM billion	232.5	40.1	26.0[2]	298.6
of which:					
Securities	per cent	11.0	19.7	26.4	13.5
Long-term loans	"	53.3	49.9	49.5	52.6
Netherlands					
Total assets	Guilders billion	37.6	22.9	3.3	63.9
of which:					
Securities	per cent	14.3	22.3	33.8	18.2
Long-term loans	"	39.0	58.0	52.8	46.5
United Kingdom					
Total assets	£ billion	17.7[3]	11.2	[4]	28.9
of which:					
Securities	per cent	17.5	75.6		40.0
Long-term loans	"	21.5	12.9		18.1

1. Including building and loan associations. 2. Excluding miners' insurance fund. 3. End 1963, partly Secretariat estimates.
4. Assets are negligible, any surplus of current receipts over current expenditure is entered in the Central Government budget.

SOURCES: Mitteilungen der Österreichischen Nationalbank; Monthly Report of the Deutsche Bundesbank; *Arbeits- und Sozialstatistische Mitteilungen*, Bonn; Maandstatistiek van het financiewezen Centraal Bureau voor de Statistiek; Financial Statistics, Central Statistical Office, London.

iii) The third main characteristic of the Austrian market, which is partly a cause of that just mentioned, is the heavy weight of public and semi-public issues. In recent years such issues have absorbed more than two-thirds of the funds going into fixed interest securities. Market borrowing by the credit institutions has been much less common in Austria than in the other three countries. But with the heavy public issue activity, private non-bank issues come out as relatively much less important in Austria and Germany than in the other two countries.

35. The small size of the market is ascribed by many observers to the investment policies of both institutional and non-institutional investors. It is true (see Table 9) that institutional investors supply about 40 to 50 per cent of the funds entering the market, roughly the same proportion as in Germany and Italy. And domestic non-institutional investors constitute a relatively more important source of new funds in Austria than in the other three countries. But in terms of the savings at their disposal, purchases of securities by both private and institutional investors are low in Austria (See Tables 10 and 11).

Table 11. FINANCIAL INVESTMENTS BY HOUSEHOLDS AND ENTERPRISES IN SELECTED COUNTRIES

Percentages

	FRANCE 1960-1961	AUSTRIA 1962-1963	GERMANY 1961-1962	NETHERLANDS 1960-1961
Increase in savings deposits	32	51	49	44
Savings through life insurance and pension funds	11	39	25	44
Increase in security holdings[1]	57[2]	10	26	11
Total of above	100	100	100	100

1. Includes net acquisition of securities by public authorities.
2. Includes savings bonds and other short-term papers.

SOURCES: Mitteilungen der Österreichischen Nationalbank; Monthly Report of the Deutsche Bundesbank; Bank-Betrieb, Zeitschrift für Bankpolitik und Bankpraxis, Köln; Maandstatistiek van het financiewezen, Centraal Bureau voor de Statistiek; Rapport sur les comptes de la nation de l'année 1962, ministère des Finances et des Affaires Economiques; Secretariat estimates.

36. Private savers keep a large proportion of their savings in a relatively liquid form, including savings deposits which, in practice, are not much less liquid than demand deposits. The liquid nature of savings deposits is apparently one of the reasons why the banks invest only a small proportion of their funds in securities. In Austria this difficulty is usually referred to as "the transformation problem", suggesting that the mechanism for the transformation of liquid funds into longer-term capital is inadequate. Security purchases by institutional investors are also limited by the fact that social insurance in Austria is based on the immediate distribution rather than on the capital stock-system.

37. The idea of special measures to enlarge the flow of institutional and personal funds to the capital market does not appear as yet to have found much support in Austria. The main objection to it seems to be that it would involve sacrifices for savings accumulated in forms other than securities. There is little doubt, however, that the efficient functioning of the market depends in an important degree on its size and, therefore, on the supply of savings put at its disposal. A revision of the often excessively strict conventions governing investment by institutions could have important beneficial effects on the capital market. *

38. Whether special measures are called for to stimulate the supply of risk capital is less certain. The small size of risk capital in the Austrian market may just as well reflect low demand for risk capital as reluctance on the part of investors to enter the equities market. Whenever new share issues were put on the market in the past they were quickly absorbed. The almost three-fold increase of Austrian share prices between 1956-1957 and the spring of 1962, which constitutes a record for stock markets in the O.E.C.D. area in that period, also suggests that demand for equities may have been less of a limiting factor than supply.

39. The small stock of equities in the Austrian market is partly a reflection of the difficulties encountered by companies in raising new capital in a small and imperfect market. In such a market the additional quantities of securities which a company can issue over a period of years without having to accept increasingly onerous terms, is limited. But in addition to this general problem there are special ones which contribute to the smallness of the security, and in particular the equity, market in Austria. They relate to the structure of ownership

* Securities acquired by life insurance companies have to meet standards of "Mündelsicherheit" which in practice restrict the choice open to them to Federal bonds, mortgage and electric power company bonds. This in spite of past experience which has frequently proved Federal bonds to be no safer an investment outlet than good industrial bonds. As regards savings banks, prior approval by the Minister of Finance is required for investment in securities.

and the form of business organisation. The private joint stock company is less common than in most other Member countries. Nationalised industry, either directly government owned or owned by the nationalised bank weighs fairly heavily in the industrial sector; family enterprises are also frequent. Within the limited field of private corporate enterprises, non-stock corporations and small companies, or companies whose profit record is not adequate to secure stock quotation, tend to predominate. No more than 15 per cent of Austria's 529 joint stock companies (private and public) have their shares quoted on the stock exchange. In Germany, for example, the corresponding share is twice as big. The question of allowing nationalised industry to issue non-voting shares in the open market is under discussion.

40. It has also been suggested that the Austrian tax system has a number of features which act as strong deterrents to share issue activity. Those most frequently mentioned are the tax discrimination in favour of income on certain types of public bonds, the capital market issue taxes on bonds and shares, the double taxation of distributed corporate profits (by corporate and personal income taxes) and the taxation of conversion issues. The last feature is held by many observers to be particularly significant. It is suggested that a company's position, as it appears from published accounts, tends to be judged unfavourable because of the narrow capital base. Last year's capital market programme included a proposal for favourable tax treatment of reserves converted into capital stock. Until such treatment is granted the problem might be partly overcome by the publication of fuller accounts permitting, in particular, reserves to be identified. In general, there is great scope for improving the practices of Austrian companies as regards publication of information relating to their business.

41. Another matter of relevance to the smallness of business issue activity in the bond as well as the equity market is the readiness of Austrian banks and insurance companies to extend direct credits for the finance of business investment. Such credits are also an important source of external business finance in Germany, whereas they play a limited rôle in most other Member countries. Moreover, business profits were large in Austria during most of the postwar period, permitting the bulk of investment to be financed without resort to external sources. But the small size of the capital market must be seen not only as a partial effect, but also as a partial cause, of the high degree of self-finance. A bigger market, enabling individual enterprises to raise capital on less onerous terms, would have put less of the burden of investment finance on profits and permitted a more generous dividend policy. This, in turn, might have stimulated demand for equities. In fact, it has been suggested that the dividends earned on Austrian equities in postwar years have been relatively low and that they are the main reason why the demand for such equities is not higher.

42. The "monopolisation" of the capital market by public authorities, or rather by the Federal government and the electric power companies, is perhaps the most frequently criticised feature in the current capital market debate in Austria. Last year's programme for new legislation proposed elimination of the tax discrimination in favour of holders of certain types of government bonds.* The second main instrument by which the public authorities assure that their market requirements are covered, the Government control of market issue activity, is also exposed to heavy criticism in some quarters.

43. At one further remove, however, it may well be asked whether doing away with the special instruments enabling the Government to cover its market requirements would be sufficient to bring lasting relief in the capital market. A reconsideration of budgetary policy, and in particular, of ways and means of reducing the large Federal budget deficit is certainly relevant. The deficit, before debt redemption, corresponded to 1.9 per cent of gross national product in 1963. Federal Government investment in infra-structure has been relatively large in recent years and it is not inappropriate that it should be partly loan-financed. But the current rate of Federal borrowing would appear to be clearly excessive.

44. The virtual non-existence of a money market has recently been brought to the fore in discussion of the capital market. It is strongly felt in Austria that a properly functioning money market is a necessary condition for an efficient capital market. This is clearly a very relevant approach. A developed money market would enable the Federal Government to cover part of its financial needs by the issue of Treasury bills, thereby bringing relief to the capital market. For the other sectors of the economy, Treasury bills would constitute a convenient outlet for short-term investment. Ways and means of developing a money market and creating the basis for an active debt management policy are at present being studied in a Working Group set up by the National Bank. The shift of emphasis away from particular rules and regulations to more basic problems like those of budget financing clearly indicates the wider approach to the capital market problem adopted in recent months. The Advisory Council for Economic and Social Questions will, no doubt, help to clarify the main elements of the problem. It can be expected that the new capital market programme to be submitted to the Government in the near future will be a more

* Under the present rules, persons in dependent employment enjoy tax exemption for interest receipts on 15 per cent of their holdings of Federal and electric power plant bonds. Business enterprises and self-employed persons enjoy tax exemption on such bonds for investment corresponding to a maximum of 10 per cent of their profits. The former rules, in force until the end of last year, stipulated that holdings eligible for tax exemption should be composed of 50 per cent Federal bonds and 50 per cent electric power plant bonds.

comprehensive and ambitious one than that put forward last year.*

VI. CONCLUSIONS

45. The growth of economic activity accelerated in the second half of 1963. In 1964 the average growth rate for 1963 as a whole will very likely be surpassed. The wage and price situation was comparatively stable until the autumn when pressures strengthened. The prospects are for a relatively smooth development in this field in the coming months. The current balance of payments surplus, small in 1963, is likely to rise; and the inflow of foreign capital can be expected to continue with a further increase in foreign exchange reserves.

46. Productive plant and equipment are not fully utilised in some sectors, and the scope for raising output is fairly significant. But the labour market is tight. To safeguard cost and price stability, it may be necessary to pursue more energetic policies aiming at facilitating labour mobility. Steps should also be taken to reduce the large Federal budget deficit and check the heavy inflow of foreign capital. The need for such steps were stressed in a stabilisation programme recently proposed by the Social and Economic Council. The programme also urged the removal of the remaining restriction on imports and the lowering of customs duties.

47. The Austrian capital market is relatively small, heavily dominated by public and semi-public issues and virtually non-existent for equities. These defects are, to a considerable extent, the outcome of controls, regulations, taxation policies and deep rooted traditions which influence the pattern of savings and restrict resort to the market by private enterprises. To secure a more efficiently working market these obstacles would have to be overcome. Steps to reduce the large Federal budget deficit and to develop new modes of financing, would bring relief to the capital market. A properly functioning money market would provide a partial solution to the latter problem and would also, by permitting an active debt management policy give the authorities an important new contra-cyclical weapon.

* Last year's programme was limited to proposals for revision of:
- company taxation (depreciation rules, tax treatment of undistributed profits and conversions of reserves;
- tax exemption for certain public bonds;
- capital market issue taxes;
- finance of electric power plant investment.

STATISTICAL ANNEX

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Table I. NATIONAL PRODUCT

Billion Schillings

	CURRENT PRICES						1954 PRICES					
	1958	1959	1960	1961	1962	1963	1958	1959	1960	1961	1962	1963
EXPENDITURE:												
Private consumption	83.6	88.9	96.6	105.4	115.1	124.3	77.5	81.5	86.7	90.9	95.6	100.5
Public consumption	18.8	19.6	20.8	22.5	24.3	26.5	13.5	13.7	13.9	14.0	14.3	15.1
of which: Defense	2.0	2.0	1.9	1.9	2.1	2.6	..	..	..	..	..	..
Gross domestic fixed capital formation	28.8	31.1	37.0	41.8	42.3	45.4	25.5	27.1	31.2	33.2	32.5	33.0
of which: Construction	14.2	15.7	17.9	20.6	21.3	23.3	11.8	12.7	13.8	15.0	15.0	15.5
Machinery and equipment	14.6	15.5	19.1	21.2	21.0	22.1	13.7	14.4	17.4	18.2	17.5	17.5
Change in stocks and statistical discrepancies	2.9	2.8	9.1	9.0	4.7	2.9	3.8	3.3	7.6	6.7	5.7	4.2
Exports of goods and services	32.0	34.1	38.7	42.1	45.9	50.5	28.5	31.1	34.5	37.1	39.8	43.3
Less: Imports of goods and services	29.4	33.2	40.9	42.9	45.4	50.3	28.8	33.3	40.2	41.9	45.7	47.6
Gross national product at market prices	136.7	143.3	161.3	177.9	186.9	199.3	120.0	123.4	133.7	140.0	142.2	148.5
INDUSTRIAL ORIGIN:												
Agriculture, forestry and fishing	17.0	15.1	16.6	18.9	17.9	19.1	16.0	14.2	15.3	16.8	15.8	16.8
Manufacturing, mining and public utilities	57.3	60.8	69.5	74.2	78.0	81.4	53.1	55.9	60.8	63.0	64.5	66.9
Construction	11.1	12.0	13.6	15.5	16.3	17.8	8.9	9.2	9.7	10.3	10.4	10.5
Other	51.3	55.4	61.6	69.3	74.7	81.0	42.0	44.1	47.9	49.9	51.5	54.3
DISTRIBUTION OF NATIONAL INCOME:							per cent					
Compensation of employees	64.2	68.1	74.4	83.1	90.9	97.7	60.1	61.5	59.5	60.6	63.4	64.4
Income from property entrepreneurship	34.4	33.2	38.2	43.7	41.7		32.2	30.0	30.6	31.9	29.1	
Savings of corporations	5.2	6.8	9.0	5.2	5.8	53.9	4.9	6.1	7.2	3.8	4.1	35.5
Direct taxes on corporations	3.2	2.9	3.4	4.7	4.8		3.0	2.6	2.6	3.4	3.3	
Government income from property and entrepreneurship	0.6	0.9	1.3	1.9	1.7	1.9	0.5	0.8	1.1	1.4	1.7	1.3
Less: Interest on public debt	0.8	1.1	1.3	1.5	1.6	1.8	0.7	1.0	1.0	1.1	1.1	1.2
National Income	106.8	110.8	125.0	137.1	143.3	151.7	100.0	100.0	100.0	100.0	100.0	100.0

SOURCE: Monatsberichte des Österreichischen Institutes für Wirtschaftsforschung.

Table II. OUTPUT, EMPLOYMENT, WAGES AND PRODUCTIVITY IN INDUSTRY

Indices: 1956 = 100

	1961	1962	1963	1962				1963			
				1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER
OUTPUT:											
Seasonally adjusted	132.9	135.9	141.2	134.3	132.2	135.0	135.0	136.4	139.2	141.3	145.5
Not seasonally adjusted	132.9	135.9	141.6	129.3	137.9	131.0	143.7	131.3	144.7	137.1	154.0
Mining	104.7	102.6	99.4	106.7	104.1	100.6	99.0	96.6	98.7	100.1	102.2
Basic materials	118.5	126.5	136.5	118.3	130.0	126.7	131.2	126.9	139.6	136.3	143.8
Investment goods	135.4	134.8	134.8	127.2	139.9	133.4	138.1	120.4	141.2	133.5	145.0
of which: Building materials	153.5	152.9	163.9	99.1	172.1	181.8	151.5	93.6	191.6	196.7	173.5
Machinery and equipment	123.6	127.4	126.1	120.3	130.4	119.7	139.6	115.5	131.1	117.9	141.5
Consumer goods	135.1	139.3	149.7	133.7	138.2	128.0	153.8	141.1	150.9	139.8	167.1
of which: Food, drink and tobacco	116.6	124.8	134.9	103.4	113.5	113.4	163.7	114.4	124.4	125.9	175.4
Clothing	126.6	135.6	144.2	134.5	141.3	121.5	140.1	144.5	149.8	131.3	152.2
Durable goods	165.3	149.9	156.7	152.4	146.1	137.4	161.9	144.4	162.9	145.4	175.8
EMPLOYMENT:											
Wage and salary earners	107.5	108.7	107.2	108.0	108.3	108.9	109.6	107.6	106.7	106.8	107.7
Average paid working hours	95.3	93.9	93.6	92.8	93.4	94.6	94.7	92.1	93.5	94.4	94.6
WAGES AND PRODUCTIVITY:											
Monthly gross earnings of employees	139.9	148.9	157.8	132.8	140.1	155.5	167.3	139.9	151.0	160.0	180.4
Output per employee	123.6	125.2	131.7	119.7	127.3	120.3	131.1	122.0	135.6	128.4	143.0
Unit labour costs	113.2	118.9	119.8	110.9	110.1	129.3	127.6	114.7	111.4	124.6	126.2

SOURCES : General Statistics, O.E.C.D.: Statistische Übersichten, Österreichisches Institut für Wirtschaftsforschung.

Table III. RETAIL SALES AND PRICES

Indices, 1958 = 100

	1961	1962	1963	1962				1963				1964
				1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER
Retail sales	126.9	140.5	150.3	118.8	130.6	137.6	175.1	128.1	139.0	146.5	187.5	138.2
Non durables	125.0	140.0	149.5	120.6	131.4	136.5	171.4	131.0	139.5	145.2	182.3	139.9
of which: Food and drinks	124.1	142.2	151.7	127.7	136.8	142.1	162.3	139.5	144.9	150.3	172.0	150.1
Clothing	122.2	129.0	135.0	95.8	120.2	112.4	187.5	98.6	126.4	116.8	198.1	107.1
Durables	139.2	144.3	154.6	107.4	126.3	144.7	198.7	109.2	135.6	154.3	219.3	127.6
of which: Household goods and furniture	136.7	139.6	150.5	104.7	124.3	141.5	188.1	102.2	135.1	153.6	210.9	123.4
Consumer prices	106.7	111.4	114.4	109.6	113.2	111.9	110.8	113.0	115.2	114.3	114.9	117.0
Food	104.3	110.9	114.6	107.8	115.1	111.9	108.9	113.3	117.3	114.3	113.5	115.9
Clothing	106.3	108.5	110.3	108.1	108.5	108.6	108.9	109.3	110.0	110.4	111.5	112.3
Household goods and furniture	109.4	112.8	114.4	112.2	112.6	113.3	113.3	113.4	113.8	114.3	115.9	118.0
Rent	114.7	119.8	124.1	118.7	119.6	120.2	120.9	121.3	123.0	124.9	127.0	128.1
Wholesale prices of basic materials	104.1	109.7	107.9	107.5	111.4	112.2	107.6	106.9	109.4	105.6	109.5	111.4
Foodstuffs	102.3	109.8	105.7	106.2	112.9	114.0	106.2	104.8	108.5	101.8	107.8	108.8
Industrial materials	106.4	109.4	110.7	109.1	109.3	109.6	109.4	109.7	110.5	110.8	111.6	114.9
Building costs[1]	114.7	118.5	125.5	118.0	118.2	118.7	119.1	119.4	126.3	128.0	128.0	129.6
Labour	123.6	129.2	139.4	129.1	129.1	129.2	129.2	129.4	140.3	144.0	144.0	144.4
Building materials	106.8	109.0	112.9	108.2	108.4	109.4	110.2	110.4	113.8	113.8	113.8	116.3

1. In Vienna.

SOURCES: General Statistics, O.E.C.D.; Statistische Übersichten, Österreichisches Institut für Wirtschaftsforschung.

Table IV. MONEY AND BANKING

End of Period

	UNIT	1959	1960	1961	1962				1963				1964
					1st quarter	2nd quarter	3rd quarter	4th quarter	1st quarter	2nd quarter	3rd quarter	4th quarter	1st quarter
INTEREST RATES:													
Discount rate	per cent	4.5	5.0	5.0	5.0	5.0	5.0	5.0	5.0	4.5	4.5	4.5	4.5
Sight deposits	-	0.75	0.75	0.75	0.75	0.75	0.75	0.75	0.75	0.75	0.75	0.75	0.75
Savings deposits (less than 6 months notice)	-	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5
Time deposits (notice of 12 months and over)	-	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5
MONETARY CIRCULATION AND EXTERNAL RESERVES:													
Notes and coins in circulation	billion schillings	19.0	20.0	22.3	21.5	23.3	23.4	23.9	23.4	25.1	25.3	25.7	24.7
Sight liabilities of the National Bank	-	5.5	5.3	6.3	6.2	6.6	8.7	9.0	8.9	8.4	10.2	10.3	10.2
Gross external reserves of the National Bank	-	17.6	18.1	21.4	21.7	23.8	26.9	27.3	27.0	27.9	30.6	30.9	30.1
of which: gold	-	7.5	7.6	7.8	8.9	9.3	10.8	11.7	12.5	13.0	13.0	13.8	14.6
CREDIT INSTITUTIONS:													
Credits to non-banks, total	-	38.1	46.1	52.4	54.0	55.5	56.3	57.2		60.3		(63.8)	
of which: short-term	-	18.7	22.3	25.2	26.0	26.3	26.3	25.8		25.8			
medium-term (1 to 5 years)	-	8.1	8.8	9.6	9.8	10.1	10.2	10.7		11.6			
long-term	-	11.3	15.0	17.5	18.2	19.1	19.8	20.7		22.8			
Deposits from non-banks, total	-	48.3	54.8	60.9	63.3	65.0	67.7	70.4	71.8	72.9	76.5	79.2	81.9
of which: sight	-	14.5	15.1	15.8	15.5	16.4	18.2	18.3	17.0	17.4	19.5	20.1	20.0
time	-	6.3	7.3	8.0	8.6	8.6	8.8	8.9	9.3	9.6	9.7	9.2	9.4
savings	-	27.6	32.4	37.1	39.2	39.9	40.9	43.2	45.5	45.9	47.3	49.9	52.5
Security holdings[1]	-	9.2	10.0	10.2	10.2	10.7	10.8	11.8	11.6	12.1	12.2	13.4	14.0
Foreign assets	-	1.8	1.0	1.0	1.0	1.1	1.2	1.7	2.0	2.4	3.7	2.7	4.1
Foreign liabilities	-	2.0	1.7	2.5	2.1	2.3	2.3	3.3	2.7	3.2	2.9	3.1	2.9

1. Excluding Treasury Bills.

SOURCE: Mitteilungen des Direktoriums der Österreichischen Nationalbank.

Table V. MERCHANDISE TRADE BY COMMODITY GROUP AND AREA

Monthly averages, million schillings

	IMPORTS						EXPORTS					
	1958	1959	1960	1961	1962	1963	1958	1959	1960	1961	1962	1963
Total	2,326	2,480	3,068	3,217	3,362	3,630	1,989	2,097	2,427	2,605	2,738	2,873
Food, drinks, tobacco	373	411	437	370	460	478	96	101	110	119	135	158
Raw materials	339	334	445	445	393	416	425	429	454	452	427	420
Mineral fuels	303	266	290	288	317	357	45	55	58	54	65	68
Chemicals	171	207	243	271	287	310	88	85	97	127	135	158
Machinery and transport equipment	587	654	879	1,003	1,027	1,086	298	321	396	462	533	576
Other semi-finished and finished goods[1]	552	609	773	839	878	983	1,038	1,106	1,312	1,390	1,442	1,494
O.E.C.D. countries	1,822	1,946	2,401	2,584	2,692	2,851	1,371	1,475	1,704	1,847	1,980	2,095
E.E.C. countries	1,264	1,416	1,733	1,915	1,992	2,116	987	1,033	1,219	1,291	1,369	1,435
of which: Germany	905	998	1,226	1,379	1,423	1,501	499	556	651	715	765	758
Italy	175	195	247	255	275	281	339	345	404	397	420	479
France	71	93	113	125	130	154	54	36	42	54	57	67
E.F.T.A. countries	262	290	371	408	439	499	208	242	303	374	415	458
of which: United Kingdom	101	115	152	162	170	195	48	54	68	80	78	112
Switzerland	100	109	133	151	167	187	83	95	117	157	197	195
U.S.A.	235	169	225	191	187	172	98	124	107	100	106	109
Other O.E.C.D. countries	61	71	72	70	74	65	78	76	75	82	90	93
Non-O.E.C.D. countries	504	534	667	633	670	779	618	622	723	758	758	778
Eastern Europe and U.S.S.R.	289	324	403	386	426	502	304	338	417	457	479	501
Africa	67	53	68	73	63	70	72	67	64	60	60	61
Latin America	50	56	74	57	58	71	59	52	47	60	47	33
Asia	67	65	90	82	82	85	147	125	146	128	121	132
Other	31	36	32	35	41	51	36	40	49	53	51	51
Volume (index, 1957 = 100)[2]	102	113	137	150	164	169	96	103	116	124	133	141
Price (index, 1957 = 100)[2]	94	90	92	88	84	88	98	96	98	98	97	96

NOTE. Data by commodity group and area do not add to total trade estimates due to rounding and statistical corrections.

1. Including commodities not classified according to kind.

2. Rebased indices; original base 1937.

SOURCES: Statistische Übersichten, Österreichisches Institut für Wirtschaftsforschung; Mitteilungen des Direktoriums der Österreichischen Nationalbank.

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